

Short-Horizon Reversal in Daily Equity Returns

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Abstract

We document that stocks with the lowest one-day return tend to outperform over the following five trading days. We attribute this to short-term liquidity provision: large one-day price moves are frequently driven by transient order-flow imbalances rather than new information, and partially reverse as liquidity providers step in and absorb the imbalance.

Methodology

For each stock and date, we compute the one-day close-to-close return and cross-sectionally standardise it (z-score) within the trading universe on that date. Our signal is the negative of this z-score: stocks with the most negative recent return receive the highest signal value. We form equal-weighted decile portfolios, long the top decile and short the bottom decile, rebalanced daily.

Formula

$$\text{signal}_t = -1 * \text{zscore_cross_sectional}(\text{one_day_return}_t)$$

Data

Daily close-to-close returns for a broad universe of liquid, exchange-listed equities. We exclude the smallest, least liquid names.

Results

The long-short decile portfolio earns a Sharpe ratio of approximately 0.9 (gross of costs) over the sample period 2005-01-01 through 2015-12-31.

Caveats

Results are sensitive to the exclusion of illiquid names; we do not report performance including transaction costs, and leave the choice of exact winsorization/outlier treatment to future implementers.